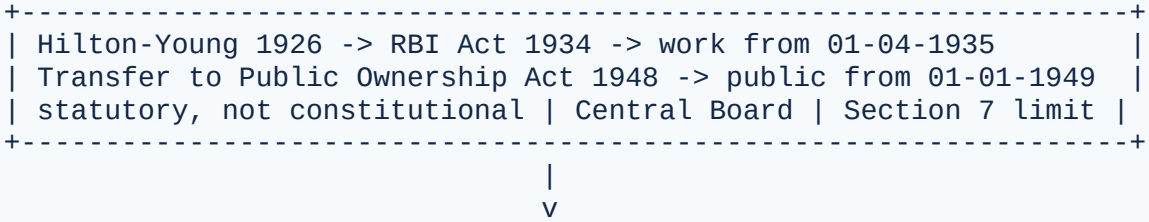


ASCII MASTER FLOW - PANEL 1/12: ORIGIN AND LEGAL IDENTITY



ASCII MASTER FLOW - PANEL 2/12: FUNCTIONS AND PERIMETERS

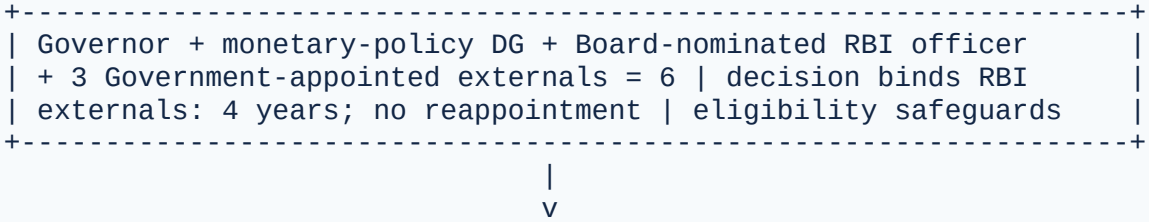
+-----+			
	monetary authority	notes except Rs 1	banker/debt manager
	bankers' bank	/ settlement	/ last resort
	assigned banking	+ payment regulation	no tax/spend/legislation
+-----+			
		v	

ASCII MASTER FLOW - PANEL 3/12: FLEXIBLE INFLATION TARGET

+-----+	
RBI Act s.45ZA: Government + RBI consultation -> Gazette	
25-03-2026: headline CPI 4%; lower 2%; upper 6%	
period 01-04-2026 to 31-03-2031 review every five years	
primary price stability; growth kept in mind	
+-----+	

|
v

ASCII MASTER FLOW - PANEL 4/12: MPC DECISION BODY



ASCII MASTER FLOW - PANEL 5/12: VOTE AND ACCOUNTABILITY

```
+-----+
| quorum 4 incl Governor / MPC DG | one vote each | tie: casting |
| >=4 meetings/year; six is practice | minutes on day 14 |
| MPR every 6 months | 3 quarterly breaches -> s.45ZN report |
| reasons + remedies + estimated return period |
+-----+
```

|
v

ASCII MASTER FLOW - PANEL 6/12: CURRENT CORRIDOR - 05-08-2026

```
+-----+
| SDF floor 5.00 <- repo 5.25 -> MSF ceiling 5.50 |
| Bank Rate 5.50 | neutral stance | numbers are dated, not static |
| WACR = operating target; RBI uses two-way liquidity operations |
+-----+
```

|
v

ASCII MASTER FLOW - PANEL 7/12: INSTRUMENT DECODER

+-----+	
SDF: uncollateralised absorption MSF: overnight backstop	
CRR: cash with RBI, s.42 SLR: bank-held liquid assets, s.24	
CRR 3%, SLR 18% checked 09-09-2026 FRRR retained, not floor	
+-----+	

|
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ASCII MASTER FLOW - PANEL 8/12: TRANSIENT VERSUS DURABLE LIQUIDITY

```
+-----+
| transient: primarily 7-day VRR/VRRR; O/N to 14-day discretion |
| durable: OMO + long variable operations + forex swaps      |
| Twist: buy long/sell short | MSS: ring-fenced government account|
| injection/absorption quantity != automatic stance change    |
+-----+
```

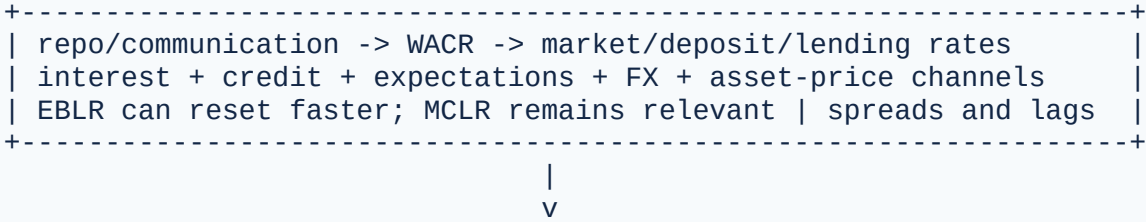
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ASCII MASTER FLOW - PANEL 9/12: MONEY AND BANK STRESS

```
+-----+
| M0 = currency + bankers' RBI deposits + other RBI deposits |
| multiplier = M3/M0; not fixed 1/CRR                         |
| credit depends on reserves + capital + risk + funding + demand |
| liquidity timing != solvency/net-worth problem              |
+-----+
```

|
v

ASCII MASTER FLOW - PANEL 10/12: TRANSMISSION



ASCII MASTER FLOW - PANEL 11/12: TRADE-OFFS AND BALANCE SHEET

```
+-----+
| supply shock: contain second rounds; fiscal/supply repair source |
| FX intervention smooths disorder; sterilisation offsets liquidity|
| notes issued = liability | assets earn | seigniorage != face value|
| stance != liquidity position | neutral rate is estimated      |
+-----+
```

|
v

ASCII MASTER FLOW - PANEL 12/12: EXAM ANSWER SPINE

```
+-----+
| diagnose shock -> assign Government/MPC/RBI role -> choose tool |
| -> trace channel -> test lag/distribution/stability -> qualify  |
| Topic 3: inflation measurement | Topic 5: banking architecture  |
| verdict: credible anchor + flexible operations + supply response |
+-----+
```